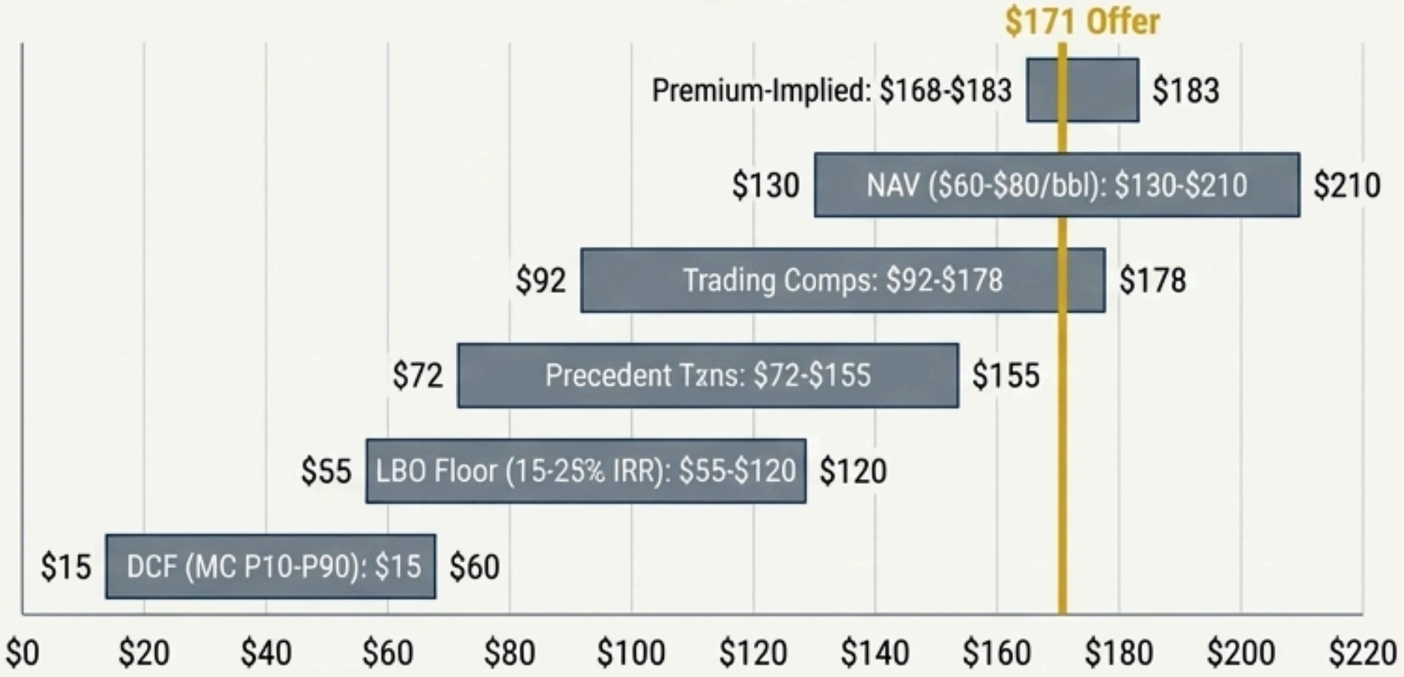
Valuation Asymmetry & Transaction Architecture

The Valuation Football Field



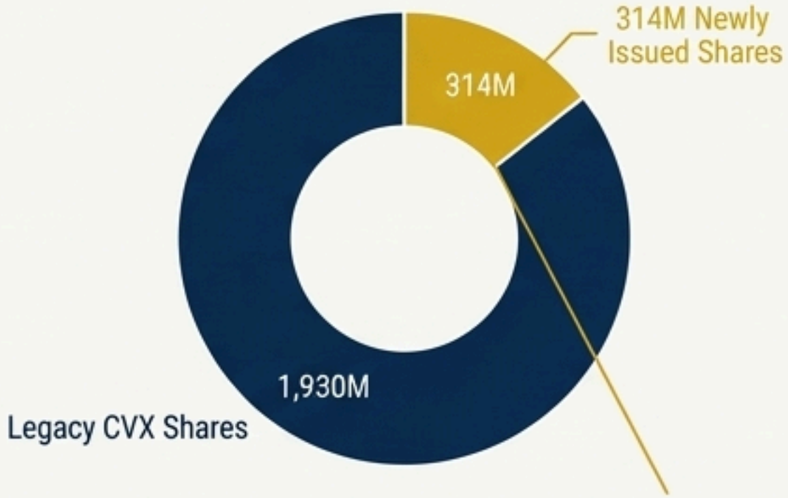
The Deal Math: $53B Equity Value via a 1.025x exchange ratio implies a $60.0B Enterprise Value (inclusive of $6.55B net debt).

The Multiples Gap: The $171/share offer prices the deal at an 11.6x EV/EBITDA multiple, sitting at a massive **110% premium** against the 5.5x sector median.

The Floor/Ceiling: Standalone 5-year DCF establishes a strict $37/share valuation floor (9.33% WACC, 2.0% terminal growth), while an aggressive LBO model caps maximum financial sponsor capacity at $120/share (assuming 4.0x leverage for a 15% IRR).

Pro-Forma Capital Table

Issuance: Chevron issues ~314M new shares to absorb Hess.



Ownership: Post-close, legacy Hess shareholders retain a ~14.7% stake in the combined entity, capturing downstream upside from the Guyana integration.

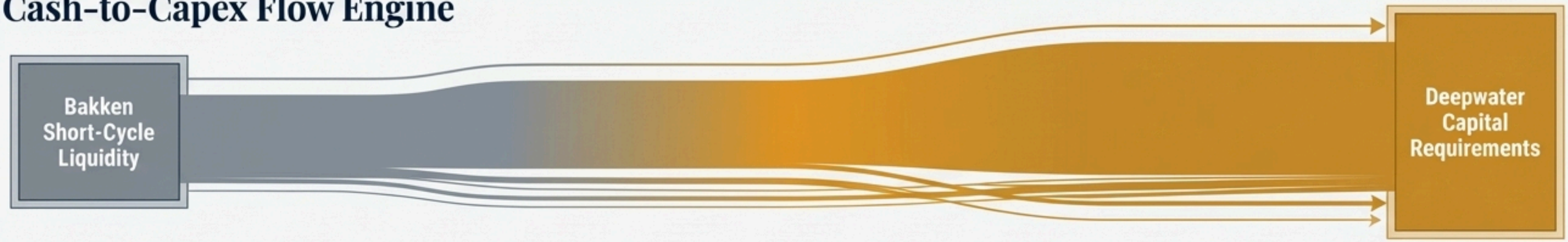
The Global Scale Impact

Production: Acquisition instantly elevates Chevron to the #2 global integrated major, driving combined production to 3.83M boe/d.

The Kicker: The 11.6x deal multiple represents a deliberate, calculated overpayment on near-term cash flows to secure a multi-decade deepwater asset completely immune to short-cycle depletion.

The Dual-Engine Arbitrage (Bakken vs. Guyana)

Cash-to-Capex Flow Engine



The Arbitrage: Maps short-cycle liquidity generated from Hess's mature Bakken shale assets flowing directly to fund the capital-intensive, long-cycle deepwater megaprojects offshore.

The Stabroek Catalyst

11B boe
Recoverable

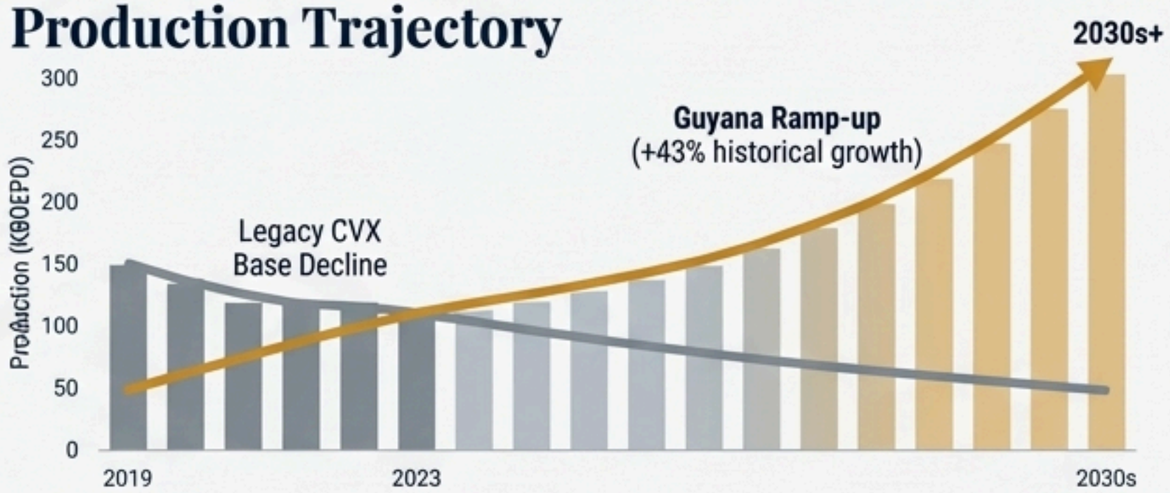
30%
Working Interest (WI)

6+
FPSOs Planned

~$35/bbl
Breakeven

Resource Base: Chevron secures a 30% Working Interest (WI) in an 11B boe recoverable resource block.
Unit Economics: Guyana breakeven costs are established at a highly resilient ~$35/bbl, insulating the combined portfolio from macro price shocks.

Production Trajectory



Growth Extension: Integrates Guyana's ramp-up to linearly extend Chevron's aggregate production growth curve deep into the 2030s+, neutralizing base-decline risks inherent in legacy CVX assets.

The Kicker: Chevron is not simply acquiring reserves; it is executing a deliberate cash-flow arbitrage, utilizing the Bakken's immediate liquidity to underwrite Guyana's generational capital relocation

EPS Dilution Realities & The ROFR Arbitration Threat

Zone 1 (Left 55%): Accretion/Dilution Economics

Standalone Base: Chevron FY2023 EPS (driven by $25,400M Net Income on 1,930M shares).

Zero-Synergy Penalty: Absorbing 314M newly issued shares drops Pro-forms Net Income to $12.26—a harsh -6.9% Year 1 zero-synergy dilution.

The Synergy Ladder: Achieving guided $1,000M synergies yielda $12.61 PF EPS (softening dilution to -4.3%).

The Breakeven Threshold: Absolute zero-dilution breakeven demands an unprecedented $2,593M in pre-tax operational redundancies ($2.048B after-tax).

Zone 2 (45%) The Exxon/CNOOC Standoff

The JOA Assertion: Exxon & CNOOC assert Right of First Refusal (ROFR) over Stabroek Block under Joint Operating Agreement, forcing ICC arbitration.

Valuation Collapse Scenario

If Exxon preempts the 30% stake, the $53B equity valuation architecture evaporates immediately, exposing CVX to breakup fees.

Management Conviction

Chevron executed a massive $2.3B open-market purchase of HES stock to signal absolute conviction to institutional shareholders amidst the arbitration overhang.

The Kicker: The mathematical impossibility of near-term EPS accretion confirms this is strictly a long-term NAV play—one that hinges entirely on prevailing in the ICC arbitration to protect the Guyana crown jewel.